

Block, Inc. First Quarter 2025 Earnings Call - Prepared Remarks

Nikhil Dixit, Head of Investor Relations

Hi, everyone.

Thanks for joining our first quarter 2025 earnings call. We have Jack and Amrita with us today.

We will begin this call with some short remarks before opening the call directly to your questions. During Q&A, we will take questions from conference call participants.

We would also like to remind everyone that we will be making forward-looking statements on this call. All statements other than statements of historical fact could be deemed to be forward-looking. These forward-looking statements include discussions of our outlook, strategy and guidance as well as our long-term targets and goals. These statements are subject to risks and uncertainties, including changes in macroeconomic conditions. Actual results could differ materially from those contemplated by our forward-looking statements. Reported results should not be considered an indication of future performance.

Please take a look at our filings with the SEC for a discussion of the factors that could cause our results to differ. Also, note that the forward-looking statements, including earnings guidance for 2025, discussed on this call are based on information available to us and assumptions we believe are reasonable as of today's date. We disclaim any obligation to update any forward-looking statements, except as required by law. Further, any discussion during this call of our lending and banking products refer to products that are offered through Square Financial Services or our bank partners.

During this call, we will also provide a preliminary estimate of GPV growth for the month of April. Actual April results may differ from this estimate and may not be reflective of performance for the full second quarter.

Within these remarks, we will also discuss metrics related to our investment framework, including Rule of 40. With Rule of 40, we are evaluating the sum of our gross profit growth and Adjusted Operating Income margin.

Also, we will discuss certain non-GAAP financial measures during this call. Reconciliations to the most directly comparable GAAP financial measures are provided in the Shareholder Letter, and our Historical Financial Information spreadsheet on our Investor Relations website. These non-GAAP measures are not intended to be a substitute for our GAAP results.

Finally, this call in its entirety is being audio webcast on our Investor Relations website. An audio replay of this call and the transcript for Jack and Amrita's opening remarks will be available on our website shortly. With that, I would like to turn it to Jack.

Jack Dorsey, Block Head

Thank you for joining our call. My letter goes through what we've seen in our performance so far in 2025, why we expect growth to accelerate in the second half of this year.

Our work on product velocity and go-to-market is showing results as Square gained share this quarter. We'll keep pushing our roadmap forward at a faster pace and bring AI automation to more sellers. On Cash App, our growth this year will be driven by increasing engagement with our base, but we are focusing more of our efforts on expanding our network and including growing with teens and families, optimizing our product controls, and increasing marketing spend where we'll see strong returns. And with that, I'll turn it over to Amrita.

Amrita Ahuja, Chief Operating Officer and Chief Financial Officer

Thanks Jack.

In the first quarter, we delivered strong results in Square and demonstrated discipline across expenses, with our highest Adjusted Operating Income and Adjusted EBITDA ever. While Cash App gross profit came in below expectations, we have conviction in the growth drivers for the back half of the year, and our ability to drive long-term value.

Let's talk about our results in the first quarter. Total Block gross profit was \$2.29 billion, up 9% year over year. Square had a strong quarter with gross profit growth of 9% year over year, driven by GPV growth of 7.2%, with constant currency GPV growth of 8.2%, and increasing banking attach rates. We see our product and go to market strategies working as we expanded market share in our target verticals.

We analyze incremental market share across various consumer spending and small business volume benchmarks. Across the verticals we operate in, we saw improved growth relative to these benchmarks. Our product innovation has been robust and we're excited to host our first product release event in two weeks, where we'll showcase over 100 products and features such as new Square Online features, improved food delivery integrations, and better support for sellers with large invoices.

From a go to market perspective, we signed several upmarket sellers and continued to add partners across horizontal, vertical, and third party sales organizations. Field sales and partnerships are key channels for us going forward and we're very encouraged by recent success.

Cash App gross profit was up 10% year over year. While gross profit per monthly transacting active reached \$81 in the quarter, we saw changes to consumer spending behavior that we believe impacted inflows and Cash App Card spend. Tax refunds are an important seasonal driver of Cash App inflows. This year, we saw a pronounced shift in consumer behavior during

the time period that we typically see the largest disbursements, late February and into March. This coincided with inflows coming in below our expectations. During the quarter, non-discretionary Cash App Card spend in areas like grocery and gas was more resilient, while we saw a more pronounced impact to discretionary spending in areas like travel and media. We believe this consumer softness was a key driver of our forecast miss.

From a profitability standpoint, Adjusted EBITDA was \$813 million, up 15% year over year and Adjusted Operating Income was \$466 million, up 28% year over year. For the trailing twelve months ending in March, Adjusted Free Cash Flow was \$1.53 billion, compared to \$1.07 billion a year ago. So far this year, through the end of April, we have repurchased approximately \$600 million of stock, and we intend to continue returning capital to shareholders over the course of the year.

Let's talk about our outlook for the rest of the year, where we expect to accelerate growth across both Cash App and Square. We recognize we're operating in a more dynamic macro environment, so we've reflected a more cautious stance on the macro backdrop into our guidance. We're now expecting gross profit growth of 12% for 2025, or \$9.96 billion.

We expect gross profit growth of 9.5% in the second quarter. We continue to expect gross profit growth to accelerate in the back half of the year, into the low double digits in the third quarter, and end the year with mid-teens gross profit growth in the fourth quarter.

Let's unpack some of our growth drivers. We hit a key milestone in March by receiving FDIC approval to use our bank, Square Financial Services, to issue consumer loans for Cash App Borrow nationwide. This unlocks two important benefits, which we expect to have a meaningful impact starting in the third and fourth quarters. First, it roughly doubles the number of Cash App actives we can offer Borrow to by enabling us to offer loans across more states. And second, it enables significantly better unit economics as we can originate and service loans in-house.

Given our expectation for Borrow to be a meaningful contributor to gross profit acceleration in the second half, I want to take a moment to talk through why we have such high conviction in our ability to scale this product at attractive unit economics and margins. We have a world class underwriting team and we've maintained healthy loss rates for Borrow across historical cohorts. With a weighted average duration under 30 days, we are confident in our ability to adapt to changing macro conditions. Our machine learning models leverage real-time customer data, which we believe is one of the most reliable early indicators of credit quality. We monitor performance daily, enabling us to dynamically adjust originations and exposure based on our customer underwriting scores.

Another driver of growth acceleration is our retroactive BNPL product – Cash App Afterpay – launched in late February. We've seen strong early conversion and adoption in April and are excited to continue ramping this product to more actives.

For Square, we continue to expect GPV growth to improve throughout the rest of the year. We expect high single digit GPV growth in the second quarter, with April global GPV growth expected to be 9.6% on a year over year basis. Our seller acquisition payback periods continue to remain within 5 to 7 quarters despite increasing levels of investment. We're seeing traction from our investments in field sales and partnerships, and we're leaning in more. These channels have delivered strong returns, exceeding our expectations for new volume, and are foundational to our strategy of expanding upmarket and winning with more complex sellers. We expect that momentum to continue building as we move through the year.

Finally, in Proto, we continue to expect to deliver our first bitcoin mining chips and systems in the second half of the year. These growth initiatives collectively drive nearly all of the gross profit growth acceleration required to achieve our guidance. As Jack noted in his letter, we're prioritizing efforts to expand Cash App's network with initiatives spanning product and go to market. We're confident this work will contribute to long term growth but we haven't embedded these initiatives into our 2025 outlook.

From a profitability perspective, we now expect Adjusted Operating Income of \$1.9 billion for the year, or approximately 19% margin. We've reflected continued investment in sales and marketing and risk loss into our profitability outlook as we expect to invest in high ROI growth initiatives across Cash App and Square.

We understand the drivers behind our recent deceleration in growth and have incorporated updated views on the macro environment into our revised guidance for the year. We're ready to navigate a range of scenarios, supporting our customers while responsibly growing our business as conditions evolve.

Our path forward is clear. Square is moving faster, building relevant tools, and getting them into more sellers' hands. Cash App is becoming a fundamental part of people's financial lives through accessible credit and banking tools and we are leaning in more on the power of our network to expand new actives growth. Taken together we expect this to support sustainable growth for Block over the long run. We have the team, strategy, and organizational strength to navigate potential short-term volatility while continuing to build for our customers. I'll now turn it back to the operator to start the Q&A portion of the call.